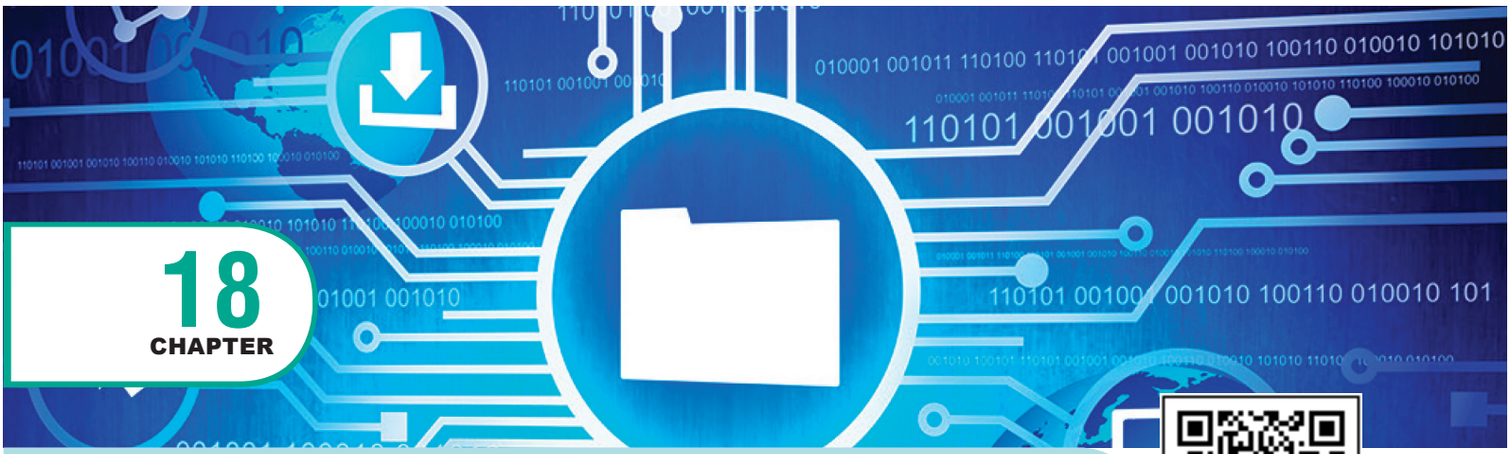


18
CHAPTER

Electronic Data Interchange- EDI

986IEZ

LEARNING OBJECTIVES

- To acquire basic knowledge on EDI
- To know the brief history of EDI
- To understand the various types of EDI
- To learn the advantages of EDI
- To know about the layers of EDI
- To study about UN/EDIFACT

18.1 Introduction to EDI

The Electronic Data Interchange (EDI) is the exchange of business documents between one trade partner and another electronically. It is transferred through a dedicated channel or through the Internet in a predefined format without much human intervention.

It is used to transfer documents such as delivery notes, invoices, purchase orders, advance ship notice, functional acknowledgements etc. These documents are transferred directly from the computer of the issuing company to that of the receiving company, with great time saving and avoiding many errors of traditional "on paper" communications.

Before the popularization of Internet-based E-Commerce, it was a major E-Commerce model. EDI includes data exchange between buyers and sellers, trade partners, and also internal data exchange within departments of a company. There are many internationally accepted EDI standard e.g. EDIFACT, XML, ANSI ASC X12, etc. See Figure 18.1

EDI is "Paperless Trade" and EFT (Electronic Transfer) is "Paperless Payment"

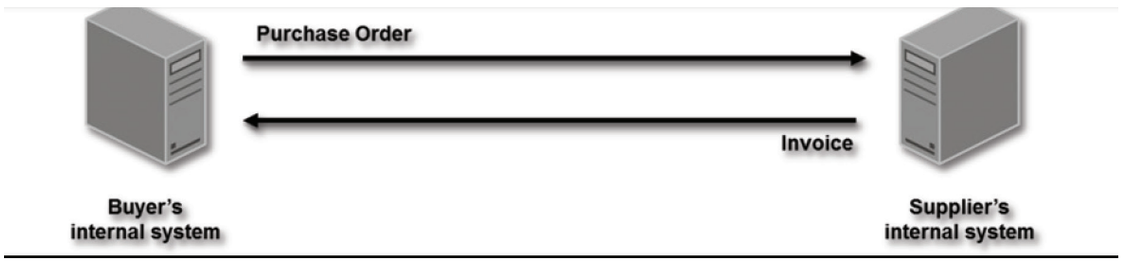


Figure: 18.1 Electronic Document Exchange

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